

NVIDIA Corporation Financial Analysis

Historical performance, projections, profitability drivers, valuation, and risk-adjusted return analysis

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COMPANY	TICKER	HEADQUARTERED	FISCAL YEAR END
NVIDIA Corporation	NVDA	Santa Clara, CA	01/25/2026

Executive Summary

This report evaluates NVIDIA Corporation using historical financial statements, projections, DuPont analysis, comparable-company valuation context, and return-volatility-Sharpe ratio analysis. The evidence points to a company with extraordinary revenue growth, materially higher profitability after the AI demand cycle accelerated, and strong cash generation. However, NVIDIA also carries stock-level volatility that is meaningfully higher than the SPY benchmark.

FY2026 REVENUE \$215.9B	FY2026 NET INCOME \$120.1B	FY2026 OPERATING MARGIN 60.4%	FY2026 ADJUSTED ROE 90.33%
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Company Profile

NVIDIA is headquartered in Santa Clara, California. The company was founded in 1993. Jensen Huang is the CEO, and Colette M. Kress is the CFO. The company's fiscal year end for this analysis is 01/25/2026.

Item	Value
52-week range	\$86.62-\$212.19
Market capitalization	\$4.218T
P/E ratio	35.26
Diluted EPS	\$4.91
Revenue	\$215.94B
EBITDA	\$133.23B

Financial statement values are presented in USD millions except for per-share data, multiples, and market data.

Historical Financials and Projections

The financial model includes actual results from FY2023 through FY2026 and projections for FY2027 and FY2028. Revenue increased from \$26.97 billion in FY2023 to \$215.94 billion in FY2026. The projections show revenue continuing to grow to \$365.76 billion in FY2027 and \$479.02 billion in FY2028.



Revenue and net income trend based on the project Excel model.

Cash flow by activity for historical and projected years.

Income Statement Summary

USD millions	2023A	2024A	2025A	2026A	2027P	2028P
Revenue	26,974.0	60,922.0	130,497.0	215,938.0	365,763.6	479,023.8
Gross Profit	15,827.0	44,818.0	96,327.0	153,730.0	273,324.2	355,723.0
EBIT	6,783.0	33,595.0	82,052.0	130,858.0	243,874.3	323,059.3
Net Income	4,368.0	29,760.0	72,881.0	120,067.0	200,580.6	266,078.1
EPS (Basic)	0.18	1.21	2.97	4.93	8.29	11.08
EPS (Diluted)	0.17	1.19	2.94	4.90	8.24	11.01

Balance Sheet Summary

USD millions	2023A	2024A	2025A	2026A	2027P	2028P
Cash & Cash Equivalents	13,296.0	25,984.0	43,210.0	62,556.0	68,975.5	66,251.5
Total Current Assets	23,073.0	44,345.0	80,126.0	152,862.7	172,951.8	172,951.8
Total Noncurrent Assets	18,109.0	21,383.0	31,475.0	81,198.0	216,117.7	423,841.7
Total Assets	41,182.0	65,728.0	111,601.0	206,803.0	369,000.4	596,793.6
Total Liabilities	19,081.0	22,750.0	32,274.0	49,510.0	51,910.3	54,942.7
Total Equity	22,101.0	42,978.0	79,327.0	157,293.0	317,090.1	541,850.9

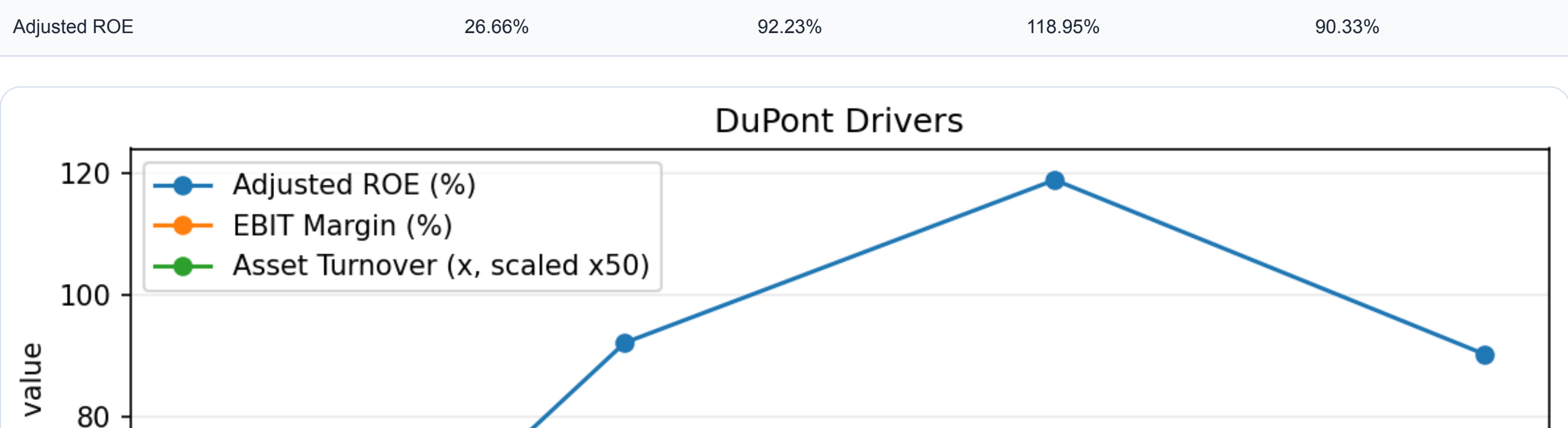
Cash Flow Summary

USD millions	2023A	2024A	2025A	2026A	2027P	2028P
Cash from Operating Activities	5,641.0	26,090.0	64,089.0	102,718.0	179,919.7	242,491.6
Cash from Investing Activities	7,375.0	-10,566.0	-20,421.0	-52,228.0	-151,127.0	-221,127.0
Cash from Financing Activities	-11,617.0	-13,633.0	-42,359.0	-49,724.0	-22,373.2	-24,088.6
Net Increase in Cash	1,399.0	3,891.0	1,309.0	766.0	6,419.5	-2,724.0
Ending Cash Balance	1,399.0	5,290.0	6,599.0	7,365.0	13,784.5	11,060.5

Interpretation: NVIDIA's projected growth is supported by strong operating cash flow. Investing cash flow becomes significantly negative in the projected years because the model assumes major long-term investment activity. The balance sheet still remains strong, with total equity projected to increase materially through retained earnings.

Profitability and Ratio Analysis

NVIDIA's profitability profile changed substantially over the period. Gross margin increased from 56.9% in FY2023 to above 70% in FY2024-FY2026. Operating margin rose from 15.7% in FY2023 to 60.4% in FY2026, showing that revenue growth outpaced operating expense growth.



Gross, operating, and net margins.

Valuation multiple trend from the Excel model.

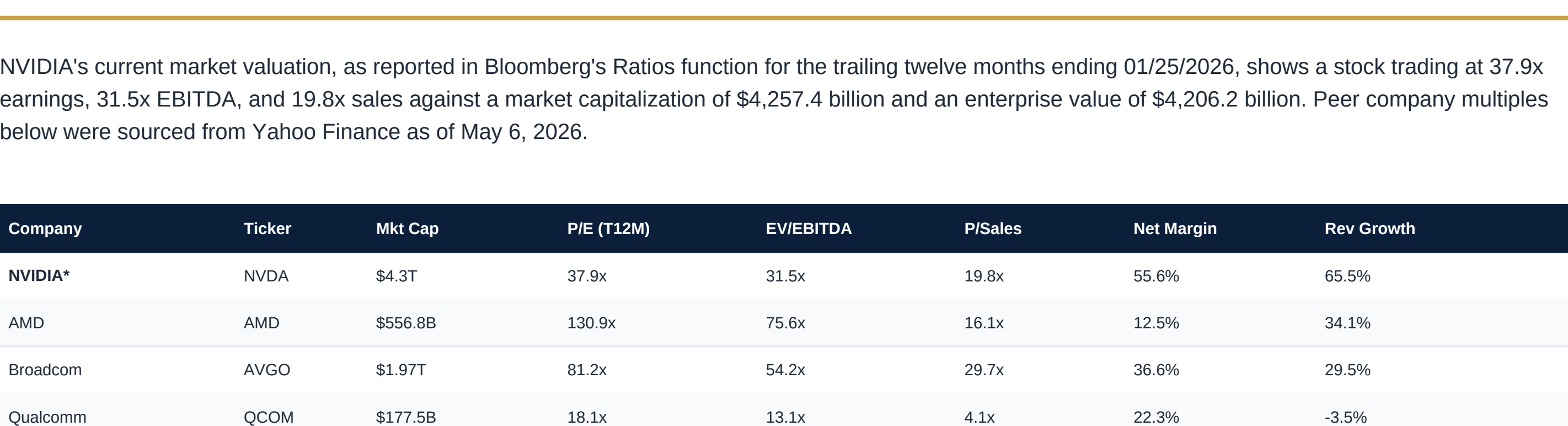
Ratio	2023A	2024A	2025A	2026A	2027P	2028P
Price / Sales	17.67	25.44	23.45	21.56	19.07	16.56
Price / Earnings	112.71	52.75	42.4	39.01	35.0	30.0
EV / EBITDA	55.78	43.39	35.93	34.32	28.23	24.6
Gross Margin	56.9%	72.7%	75.0%	71.1%	74.7%	74.3%
Operating Margin	15.7%	54.1%	62.4%	60.4%	66.7%	67.4%
Net Margin	16.2%	48.9%	55.9%	55.6%	54.8%	55.5%
Return on Assets	10.2%	55.7%	82.2%	75.4%	69.7%	55.1%
Return on Equity	17.9%	91.5%	119.2%	101.5%	84.6%	62.0%

Interpretation: The trend shows a powerful combination of growth and profitability. The valuation multiples remain high in absolute terms, but the projected P/E and EV/EBITDA decline as earnings and EBITDA grow faster than the implied market valuation in the model.

DuPont Analysis: NVIDIA Corporation (FY2023-FY2026)

Bloomberg's Financial Analysis function runs a five-factor DuPont decomposition across tax burden, interest burden, EBIT margin, asset turnover, and leverage ratio. The FY2023 through FY2026 data tells a coherent story: NVIDIA's ROE is a function of a structural transformation in operating profitability, with a natural moderation in the most recent year as the asset base expands.

Factor	FY2023	FY2024	FY2025	FY2026
Tax Burden	104.47%	88.00%	86.74%	84.88%
Interest Burden	94.10%	99.25%	99.71%	99.82%
EBIT Margin	16.47%	55.93%	64.58%	65.62%
Asset Turnover	0.63x	1.14x	1.47x	1.36x
Leverage Ratio	1.75x	1.64x	1.45x	1.35x
Adjusted ROE	26.66%	92.23%	118.95%	90.33%



Adjusted ROE, EBIT margin, and asset turnover are the key DuPont drivers.

EBIT Margin

EBIT margin went from 16.47% in FY2023 to 65.62% by FY2026. The jump between FY2023 and FY2024, from 16.47% to 55.93%, reflects the moment AI-driven demand for NVIDIA's accelerators hit at scale and revenue outpaced cost growth by a wide margin. The continued improvement through FY2025 and FY2026 confirms that NVIDIA has structurally reaped itself at a higher margin level, with operating leverage now visible in a sustained 65%+ EBIT margin. Bloomberg's profitability tab confirms a gross margin of 71.1% and an operating margin of 60.4% as of the FY2026 fiscal year end.

Asset Turnover

Asset turnover peaked at 1.47x in FY2025 and moderated to 1.36x in FY2026. Retained earnings are accumulating faster than debt, which dilutes the equity multiplier and compresses the ROE amplification effect. The balance sheet is strengthening, and the ROE moderation is the arithmetic consequence.

Leverage Ratio

The leverage ratio declined every year, from 1.75x in FY2023 to 1.35x in FY2026. Retained earnings are accumulating faster than debt, which dilutes the equity multiplier and compresses the ROE amplification effect. The balance sheet is strengthening, and the ROE moderation is the arithmetic consequence.

Tax and Interest Burden

Both factors remained broadly stable across the period. The interest burden stayed above 99% from FY2024 through FY2026, confirming that interest expense carries essentially no weight at NVIDIA's current scale. The tax burden normalized from 104.47% in FY2023 to the 84% to 86% range in subsequent years, consistent with an effective tax rate in the mid-tens.

Putting It Together

The adjusted ROE trajectory of 26.66%, 92.23%, 118.95%, and 90.33% from FY2023 to FY2026 reflects a company that experienced a structural shift in its business model and is now operating at a sustainably higher level of profitability. The FY2026 moderation is entirely explained by asset base expansion and balance sheet de-leveraging. EBIT margin improved year over year in FY2026, which is the most direct measure of how efficiently the company is converting revenue into operating profit. The Bloomberg data supports the conclusion that NVIDIA's return profile is structurally strong, and the near-term ROE compression is a byproduct of scale.

Source: Bloomberg FA, DuPont Analysis Tab, NVDA US Equity - Fiscal years ending 01/29/2023, 01/29/2024, 01/26/2025, and 01/25/2026.

Comparable Company Analysis (Comps): NVIDIA Corporation

NVIDIA's current market valuation, as reported in Bloomberg's Ratios function for the trailing twelve months ending 01/25/2026, shows a stock trading at 37.9x earnings, 31.5x EBITDA, and 19.8x sales against a market capitalization of \$4,257.4 billion and an enterprise value of \$4,206.2 billion. Peer company multiples below were sourced from Yahoo Finance as of May 6, 2026.

Company	Ticker	Mkt Cap	P/E (T12M)	EV/EBITDA	P/Sales	Net Margin	Rev Growth
NVIDIA*	NVDA	\$4.3T	37.9x	31.5x	19.8x	55.6%	65.5%
AMD	AMD	\$566.8B	130.9x	75.6x	16.1x	12.5%	34.1%
Broadcom	AVGO	\$1.97T	81.2x	54.2x	28.7x	36.6%	29.5%
Qualcomm	QCOM	\$177.5B	18.1x	13.1x	4.1x	22.3%	-3.5%
TSMC	TSM	\$1.87T	34.5x	24.8x	16.0x	46.5%	35.1%
Marvell	MVRL	\$143.1B	53.3x	32.0x	17.4x	32.6%	22.1%

* NVIDIA figures from Bloomberg FA Ratios Tab and BBG Adjusted Highlights, NVDA US Equity, as of FY2026 (01/25/2026). Peer data sourced from Yahoo Finance Statistics, May 6, 2026.

NVIDIA's Positioning

At 37.9x trailing earnings and 31.5x EBITDA, NVIDIA is trading at multiples that, in isolation, appear elevated. However, a cross-peer comparison reveals that NVIDIA's P/E is actually the second lowest among the group, behind only Qualcomm's 18.1x, while simultaneously posing the highest net margin (55.6%) and by far the highest revenue growth (65.5%). AMD trades at 130.9x earnings despite a 12.5% net margin, and Broadcom commands 81.2x earnings at 29.5% revenue growth. On a growth-adjusted basis, NVIDIA's valuation is the most defensible in the peer set.

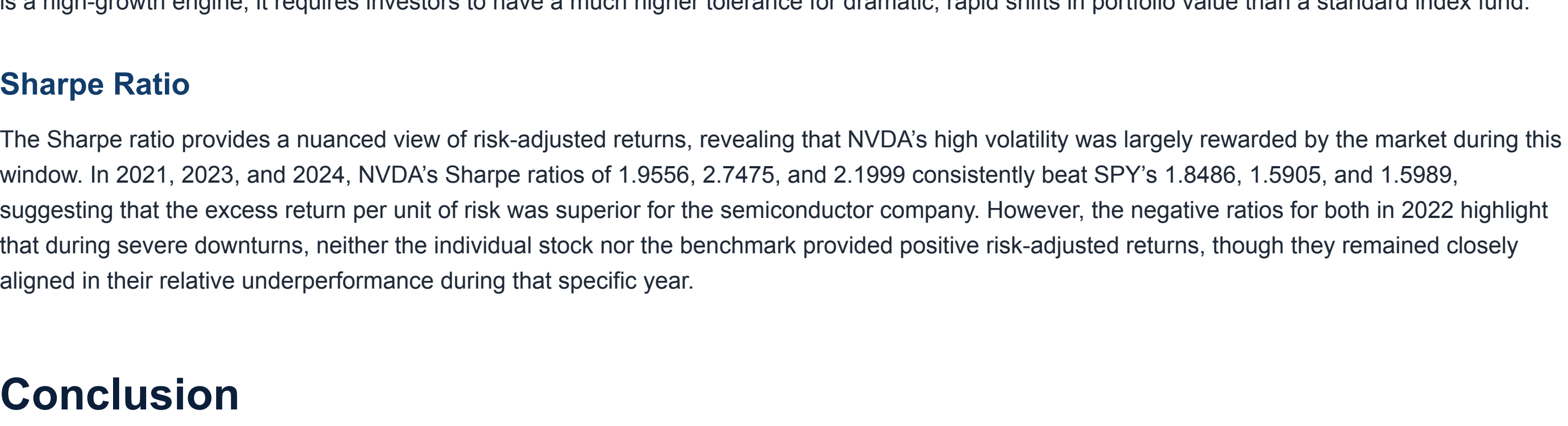
Center segment alone contributed \$193.7 billion of that revenue, representing 89.7% of total company revenue with a three-year compound growth rate of 134.60%. These are figures that typical semiconductor multiples were never designed to capture.

The forward picture reinforces this. Bloomberg consensus estimates put FY2027 revenue at \$365.8 billion, implying a further 69.4% growth. Forward EPS sits at \$8.38 against a current price of \$175.20, giving an estimated forward P/E of 20.92x. On a forward basis, the stock is priced closer to a mature industrial company than to the AI-driven hypergrowth business the trailing numbers describe. TSMC, the closest comparable in terms of margin quality (46.5% net margin), trades at 34.5x trailing earnings, nearly in line with NVIDIA, despite growing revenue at roughly half the rate.

Average Annual Return, Annual Volatility, and Sharpe Ratio Analysis (2021-2024)

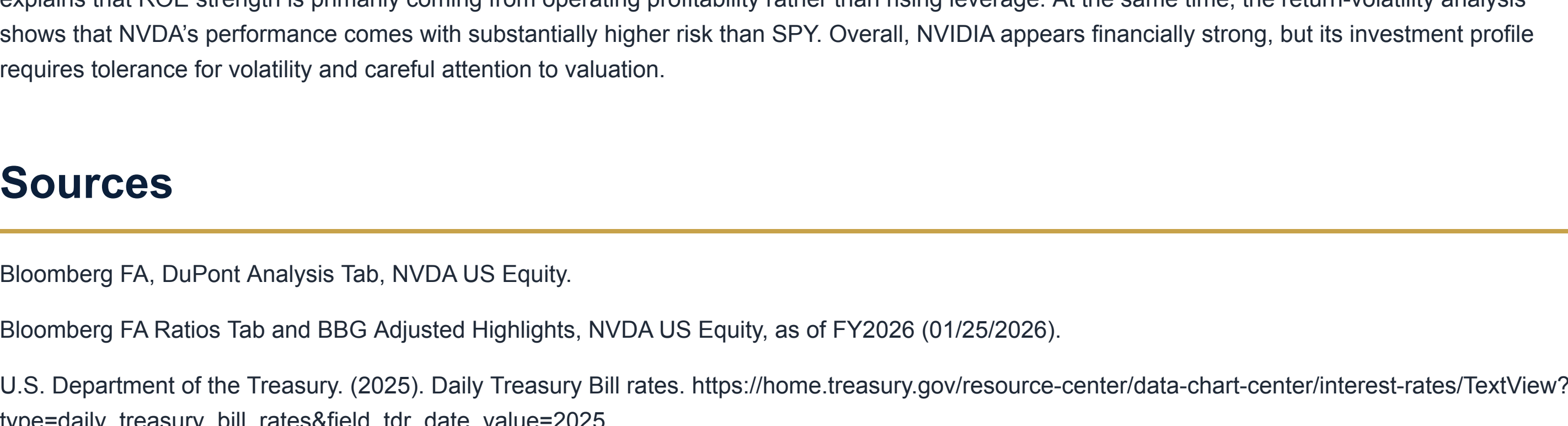
This data was pulled from yfinance. The risk-free rate for the Sharpe ratio calculation is 4% because this was the average for 2024 according to the U.S. Department of the Treasury.

NVDA				SPY			
Year	Avg Annual Return	Annual Volatility	Sharpe Ratio	Year	Avg Annual Return	Annual Volatility	Sharpe Ratio
2021	92.31%	0.4516	1.9556	2021	27.94%	0.1295	1.8486
2022	-52.81%	0.6329	-0.8976	2022	-17.86%	0.2428	-0.9000
2023	137.13%	0.4846	2.7475	2023	24.82%	0.1309	1.5905
2024	119.58%	0.5294	2.1999	2024	24.14%	0.1259	1.5989



Average annual return comparison.

Annual volatility comparison.



Average Annual Return

NVDA showcased extraordinary growth between 2021 and 2024, far outstripping the SPY benchmark in terms of raw capital appreciation. While SPY maintained a relatively steady trajectory with returns typically hovering around the 24%-28% range during positive years, NVDA experienced triple-digit surges, notably reaching 137.13% in 2023 and 119.58% in 2024. Even in the collective market downturn of 2022, NVDA's decline of -52.81% was significantly more pronounced than SPY's -17.86%, illustrating that NVDA's upside potential is paired with much deeper downside risk compared to the broader market.

Annual Volatility

The volatility metrics highlight a stark contrast in price stability, with NVDA consistently exhibiting three to four times the price fluctuation of the benchmark. SPY maintained a disciplined volatility profile, staying between 0.12 and 0.13 for most of the period, though it spiked to 0.2428 during the 2022 bear market. In comparison, NVDA's "floor" for volatility was 0.4516 in 2021, and it peaked at 0.6329 in 2022. This data confirms that while NVDA is a high-growth engine, it requires investors to have a much higher tolerance for dramatic, rapid shifts in portfolio value than a standard index fund.

Sharpe Ratio

The Sharpe ratio provides a nuanced view of risk-adjusted returns, revealing that NVDA's high volatility was largely rewarded by the market during this window. In 2021, 2023, and 2024, NVDA's Sharpe ratios of 1.9556, 2.7475, and 2.1999 consistently beat SPY's 1.8486, 1.5905, and 1.5989, suggesting that the excess return per unit of risk was superior for the semiconductor company. However, the negative ratios for both in 2022 highlight that during severe downturns, neither the individual stock nor the benchmark provided positive risk-adjusted returns, though they remained closely aligned in their relative underperformance during that specific year.

Conclusion

NVIDIA's results show a company that has moved from strong semiconductor earnings into an AI-driven profitability cycle. The financial statements and projections show rapid revenue expansion, very high margins, growing retained earnings, and meaningful operating cash flow. The DuPont analysis explains that ROE strength is primarily coming from operating profitability rather than rising leverage. At the same time, the return-volatility analysis shows that NVDA's performance comes with substantially higher risk than SPY. Overall, NVIDIA appears financially strong, but its investment profile requires tolerance for performance and careful attention to valuation.

Sources

Bloomberg FA, DuPont Analysis Tab, NVDA US Equity.

Bloomberg FA Ratios Tab and BBG Adjusted Highlights, NVDA US Equity, as of FY2026 (01/25/2026).

U.S. Department of the Treasury. (2025). Daily Treasury Bill rates. https://home.treasury.gov/resource-center/data-chart-center/interest-rates/TextView?type=daily_treasury_bill_rates&field_tdr_date_value=2025

Yahoo Finance. (2026). NVIDIA Corporation (NVDA) [Stock quote]. <https://finance.yahoo.com/quote/NVDA>

Project Excel model: Financial Management - Group Project.xlsx.

Project notebook: FIN_6406_project_historical_nvda_data.ipynb.